UAE E-Invoicing and Peppol for Third-Party Shipments

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How to Get the Peppol ID of the Buyer

- **Direct Request:** The most straightforward method is to request the Peppol ID directly from the buyer during client onboarding or when updating vendor master data.
- **Peppol Directory Lookup:** The Peppol network features an open directory. Your business's Accredited Service Provider (ASP) or e-invoicing software can systematically query this directory using the buyer's standard business identifiers to locate their ID.
- **UAE Standard Structure:** Under the UAE Ministry of Finance (MoF) framework, a domestic Peppol ID is constructed using a predefined Scheme ID followed by the participant's Tax Identification Number (TIN). In the UAE, the format is `0235:` followed by the first 10 digits of the buyer's Federal Tax Authority (FTA) issued TRN.

Who Needs to Register for Peppol in Third-Party Shipments?

In e-invoicing frameworks, Peppol registration follows the *billing flow*, completely independent of the physical logistics of the goods.

In a standard third-party shipment or triangulation scenario (Party A: Manufacturer → Party B: Intermediary → Party C: Final Buyer):

- **Transaction 1 (A to B):** Party A issues an invoice to Party B. Both Party A and Party B must be connected to the Peppol network via their respective ASPs to legally transmit and receive this electronic invoice.
- **Transaction 2 (B to C):** Party B issues a separate invoice to Party C. Both Party B and Party C must be connected to the Peppol network to exchange this document.

All parties acting as buyers or sellers in B2B transactions must be registered on the Peppol network to issue and receive their respective invoices, provided they fall within the MoF's mandatory implementation scope.

Brief on UAE VAT Rules for Third-Party Shipments (Triangulation)

Unlike the European Union, the UAE **does not have a specific "simplified triangulation" provision**. Chain transactions are strictly treated as sequential, back-to-back supplies for both VAT calculations and e-invoicing reporting.

- **Independent Assessment:** The VAT treatment must be evaluated independently for each leg of the transaction based on the statutory "Place of Supply" rules.
- **Domestic Shipments:** If the physical goods remain inside the UAE throughout the chain, both the A-to-B invoice and the B-to-C invoice are treated as standard domestic supplies subject to 5% VAT.
- **Out of Scope Transactions:** If a UAE-based intermediary buys goods from a foreign supplier and ships them directly to a foreign buyer without the goods ever entering the UAE, the transaction is generally classified as "Out of Scope" for UAE VAT.
- **Imports and Exports:** If the goods cross UAE borders, standard import VAT (via reverse charge or paid at customs) or export VAT (0% zero-rated, requiring official exit documentation) will apply. The specific VAT liability depends entirely on which party acts as the official Importer or Exporter of Record.
- **E-Invoice Data Tags:** When issuing the e-invoice in the required PINT-AE XML format, the system must accurately reflect the exact VAT classification (Standard, Zero-Rated, Exempt, or Out of Scope) for each specific leg of the transaction.

Sources

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